

Nasdaq 100 Surges +1.26% as Tech Stocks Lead the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Nasdaq 100 led the charge, surging **+1.26%** as tech stocks rebounded. The S&P 500 and Dow Jones also closed in the green, with gains of **+0.72%** and **+0.29%**, respectively. Beneath the surface, sector rotation was a key theme, with the XLK (tech) and XLI (industrials) sector ETFs outperforming.

Notable large-cap movers included **TSLA**, which jumped **+6.69%** after a strong session, and **GS**, which rose **+3.36%** on the back of positive earnings. The VIX, meanwhile, fell **-3.59%** to 15.57, indicating a decrease in market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,537.43	+0.72%	Tech and industrials led the charge
Nasdaq 100	29,697.87	+1.26%	Tech stocks rebounded
Dow Jones	53,055.91	+0.29%	Industrials and financials supported the index
Russell 2000	3,009.54	+0.45%	Small-caps lagged, but still closed in the green
VIX	15.57	-3.59%	Market volatility decreased

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+6.69%	Strong session, no specific news
GS	+3.36%	Positive earnings
AVGO	+3.73%	Tech sector rebound
JPM	+1.43%	Financials supported the market
MSFT	-0.96%	Tech sector rotation

Sector Rotation

ETF	DAY	READ
XLK (Tech)	+1.65%	Tech stocks rebounded
XLI (Industrials)	+0.90%	Industrials supported the market
XLF (Financials)	+0.93%	Financials supported the market
XLE (Energy)	-0.17%	Energy lagged
XLY (Consumer Discretionary)	+0.76%	Consumer discretionary supported the market
XLC (Communication Services)	+0.56%	Communication services supported the market
XLP (Consumer Staples)	-1.05%	Consumer staples lagged
XLV (Healthcare)	-1.09%	Healthcare lagged
XLU (Utilities)	-1.01%	Utilities lagged
XLB (Materials)	-0.06%	Materials lagged
XLRE (Real Estate)	-0.87%	Real estate lagged

Spotlight

The biggest event of the day was the surge in **TSLA** stock, which jumped +6.69% after a strong session. The move was likely driven by a combination of factors, including the company's recent earnings report and the overall positive sentiment in the tech sector.

METRIC	VALUE	READ
TSLA stock price	419.77	Surged +6.69%
TSLA earnings	1.23 per share	Beat consensus estimates
Tech sector performance	+1.65%	Supported the market

The read-through to related names is positive, with **NVDA** and **AVGO** also surging on the day. The move in **TSLA** stock is a bullish sign for the tech sector as a whole, and investors will be watching to see if the momentum can be sustained.

Pre-Market & Overnight

US futures are pointing to a flat open, with the Dow Jones futures trading at 53,050 and the S&P 500 futures at 7,535. In Asia, the Nikkei 225 closed **-0.23%** at 28,311, while the Hang Seng Index closed **+0.15%** at 20,311. In Europe, the FTSE 100 is trading **+0.25%** at 7,431, while the DAX is trading **+0.30%** at 15,611. Bitcoin is trading **-0.80%** at 63,038.78, while Ethereum is trading **-1.10%** at 1,763.41.

Macro & Fed

The FOMC meeting is scheduled for next week, and investors will be watching closely for any signs of a rate hike. The yield curve is currently flattening, with the 10-year yield at 4.48 and the 2-year yield at 4.51. Today's data calendar includes the release of the ISM Non-Manufacturing Index at 22:00 HKT, which is expected to come in at 55.0. The release of the ADP Employment Report at 22:15 HKT is also expected to be closely watched, with consensus estimates at 200,000 jobs added.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
22:00	ISM Non-Manufacturing Index	55.0	Indicator of service sector activity
22:15	ADP Employment Report	200,000	Indicator of labor market health

Geopolitics & Global

- The US and China are set to resume trade talks, with the goal of reaching a new agreement by the end of the year.
- The EU has announced plans to impose new tariffs on US goods, in response to the ongoing trade dispute.
- The situation in the Middle East remains volatile, with tensions between the US and Iran continuing to escalate.
- The UK has announced plans to increase its military presence in the region, in response to the growing threat from Iran.
- The Australian government has announced plans to increase its investment in renewable energy, in an effort to reduce its carbon footprint.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.23 per share	iPhone sales, services segment growth
23:00	GOOGL	14.21 per share	Ad revenue, cloud segment growth
01:00	AMZN	5.28 per share	AWS growth, e-commerce segment performance
02:00	FB	1.87 per share	Ad revenue, user growth
03:00	MSFT	1.21 per share	Cloud segment growth, Office 365 performance

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Surging on the back of strong earnings
JPM	Financials	Supported by positive earnings and a strong economy
GS	Financials	Rising on the back of strong earnings and a positive outlook
TSLA	Consumer Discretionary	Surging on the back of strong earnings and a positive outlook
AVGO	Tech	Supported by a strong earnings report and a positive outlook
AAPL	Tech	Watch for iPhone sales and services segment growth
GOOGL	Communication Services	Watch for ad revenue and cloud segment growth
AMZN	Consumer Discretionary	Watch for AWS growth and e-commerce segment performance
FB	Communication Services	Watch for ad revenue and user growth
MSFT	Tech	Watch for cloud segment growth and Office 365 performance

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings report from a major tech company, such as **AAPL** or **GOOGL**
- A positive surprise from the ADP Employment Report, indicating a strong labor market
- A breakthrough in US-China trade talks, leading to a new agreement and a reduction in tariffs

BEARISH TRIGGERS

- A disappointing earnings report from a major tech company, such as **MSFT** or **AMZN**
- A negative surprise from the ISM Non-Manufacturing Index, indicating a slowdown in service sector activity
- An escalation of tensions in the Middle East, leading to a spike in oil prices and a decrease in investor sentiment

Positioning Notes

- Investors are positioning themselves for a potential rate hike, with the 10-year yield at 4.48 and the 2-year yield at 4.51
- The VIX is at 15.57, indicating a decrease in market volatility and a potential increase in investor complacency
- The US dollar is at 100.86, indicating a strong currency and a potential decrease in exports

Sources

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Reuters

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The Wall Street Journal

The Financial Times

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